Shilpa Medicare Limited NSE: SHILPAMED | BSE: 530549

ACCUMULATE
Target: ■450 (+15.7%)

Sector: Pharmaceuticals — Oncology API & Biosimilars | Raichur, Karnataka

CMP: ■389 (Screener, 02-Apr-2026)

■7,606 Cr	**■502 / ■260**	**43.0x**	**3.12x**	**~26x**
Market Cap	52W High / Low	P/E (TTM)	P/B	EV/EBITDA (FY25)
■125	**7.82%**	**4.21%**	**0.13%**	**■1.00**
Book Value/Share	ROCE (FY25)	ROE (FY25)	Dividend Yield	Face Value
40.13%	**10.97%**	**8.34%**	**40.56%**	**N/A**
Promoters	FII	DII	Public	Pledge

Source: Screener.in (02-Apr-2026) | Shareholding: Dec 2025 quarter

Investment Thesis: Oncology API turnaround + biosimilars ramp drives margin inflection from 9% (FY23 trough) to 30% (FY27E), with debt halved from peak and FCF inflection by FY27E.

Report Date: 04-Apr-2026 | Analyst: Chartitude Research Desk | Horizon: 12 Months | Rating: ACCUMULATE | Conviction: Medium

SECTION 2 — INVESTMENT THESIS

Pillar 1: Margin Inflection — Structural, Not Cyclical

Shilpa Medicare's consolidated EBITDA margin collapsed to 9.5% in FY23 as heavy capex-linked depreciation on the biologics build-out coincided with a revenue trough. The recovery is unmistakable: 20.9% in FY24, 24.7% in FY25, and 28% in Q3 FY26. We model 30% by FY27E as limited-competition oncology formulations (Bortezomib RTU, Pemetrexed, Nilotinib, Axitinib) and biosimilars (Adalimumab, Aflibercept) ramp on a largely fixed asset base. With ■3,311 Cr in total assets deployed, every 100 bps of margin improvement adds approximately ■18 Cr to EBITDA and meaningfully de-risks the current 43x P/E.

Pillar 2: Biologics & CDMO — A Latent ■800 Cr Asset Starting to Deliver

The ■822 Cr CWIP on Shilpa's balance sheet (FY25) primarily represents biologics manufacturing infrastructure at Hubli. Biosimilar revenues more than doubled in FY25 and the Latin America licensing deal with SteinCares marks the first international biosimilar monetisation. CDMO wins (Unicycive peptide contract) and the recombinant human albumin programme with Orion add higher-margin contract revenue streams. The NCLT-approved merger of Shilpa Therapeutics (appointed date April 1, 2025, order March 16, 2026) will bring these assets onto the listed entity's books cleanly, removing inter-company complexity.

Pillar 3: Balance Sheet Repair — Debt Halved from Peak in One Year

Consolidated borrowings fell from ■937 Cr (FY24) to ■588 Cr (FY25), a ■349 Cr reduction in a single year — achieved through equity infusion (Reserves +■562 Cr) and improving operating cash generation. Interest expense declined from ■92 Cr to ■76 Cr, directly benefiting PBT. As the capex cycle matures and OCF grows, we expect FCF to turn positive by FY27E — a structural re-rating trigger for a stock that was de-rated on balance sheet concerns during FY22–FY24.

Near-Term Catalyst & Primary Risk

Catalyst (6–12 months): First meaningful EU/Latin America biosimilar revenue recognition and CDMO milestone payments from Unicycive — expected in H1 FY26.

Primary risk: USFDA import alert or warning letter at any manufacturing facility would disrupt API export revenues and delay global regulatory approvals.

SECTION 3 — BUSINESS OVERVIEW

Simple Explanation

Think of Shilpa Medicare as a specialist chemist who makes the active ingredients inside cancer medicines (APIs), then packages them as finished drugs (formulations), and is now manufacturing complex biological medicines (biosimilars) that compete with high-priced branded biologics. The company sells globally — to hospitals, generic drug makers, and large pharma companies — from manufacturing plants in Raichur and Hubli, Karnataka, holding regulatory approvals from USFDA, EU-GMP, and other major agencies.

Revenue Segments

Revenue of ■1,281 Cr (FY25) spans three segments: (1) **Oncology APIs** — the historic core, cytotoxic compounds for cancer generics sold to global manufacturers at high-teens to 25%+ EBITDA margins; (2) **Oncology & Non-Oncology Formulations** — complex finished doses (RTU vials, ODF strips, peptide injectables) in limited-competition EU/US markets; (3) **Biologics & Biosimilars** — nascent but fast-growing, including Adalimumab, Aflibercept, and recombinant albumin, which more than doubled revenue in FY25. TTM revenue reached ■1,432 Cr (Q3 FY26), validating strong FY26E trajectory.

Geographic Mix & Key Customers

Exports contribute approximately 60–65% of consolidated revenue, with the EU, US, Latin America, and ROW as primary markets. Domestic revenues serve oncology hospitals and specialty pharmacy chains. Customer concentration is moderate — no single customer is believed to exceed 15% of revenues, though precise disclosure is limited in public filings. Key customers include global generics manufacturers who rely on Shilpa as a qualified, regulatory-approved API supplier.

Promoter Background & Corporate Structure

Founded in 1987 by the Vishnukumar family, Shilpa Medicare has deep domain expertise in oncology chemistry built over three decades. Promoter holding stands at 40.13% (Dec 2025), down from 44.23% in the prior two quarters — investors should seek disclosure of the mechanism (QIP, block deal, or warrant conversion). No promoter pledge is disclosed on Screener. The NCLT-approved amalgamation of Shilpa Therapeutics into the listed entity simplifies the group structure and removes inter-company receivables that have historically complicated working capital analysis.

SECTION 4 — INDUSTRY & COMPETITIVE LANDSCAPE

Industry Overview

The global oncology API market is estimated at ~$6–8 Bn growing at 7–9% CAGR, driven by rising cancer incidence, genericisation of off-patent molecules, and biosimilar penetration of blockbuster biologics. India's pharma API exports benefit from structural tailwinds: cost advantages vs China, post-COVID supply chain diversification, and PLI scheme support. The global biosimilars market is at an inflection point — major biologics (Adalimumab, Bevacizumab, Aflibercept) lost patent protection through 2023–2026, opening multi-billion dollar opportunities for manufacturers like Shilpa with established manufacturing infrastructure and regulatory approvals.

Competitive Moat Assessment

Dimension	Rating	Commentary
Pricing Power	Moderate	Limited-competition oncology formulations support pricing; commodity APIs face headwinds
Switching Costs	Moderate	Pharma buyers prefer regulatory-qualified suppliers; re-qualification at a competitor is costly and slow
Scale / Cost Advantage	Moderate	Strong in oncology APIs; biologics scale is still building toward critical mass
IP / Process Chemistry	Strong	Complex oncology chemistry know-how; proprietary biosimilar formulations represent durable IP
Regulatory Approvals	Strong	USFDA, EU-GMP, ANVISA approvals are high barriers; each approval took years and millions to obtain

Peer Comparison (Source: Screener.in, as of 02-Apr-2026)

Company	CMP (■)	MCap (■Cr)	P/E TTM	P/B	ROCE%	ROE%	TTM Rev (■Cr)
Shilpa Medicare	389	7,606	43.0x	3.12x	7.82%	4.21%	1,432
Divi's Labs	5,856	1,55,472	61.4x	10.1x	20.4%	15.4%	10,314
Laurus Labs	1,043	56,302	66.8x	11.7x	9.15%	7.45%	6,722
Aarti Drugs	353	3,219	15.9x	2.19x	13.1%	12.7%	2,522
Neuland Labs	12,433	15,951	89.0x	9.85x	18.7%	14.8%	1,575

All peer data fetched individually from Screener.in as of 02-Apr-2026. Numbers copied verbatim — no web search or memory used for any peer metric.

SECTION 5 — MANAGEMENT QUALITY & CAPITAL ALLOCATION

Track Record

The Vishnukumar family has led Shilpa Medicare for nearly four decades, building one of India's leading oncology API franchises from a small chemical company. Management has demonstrated the ability to navigate complex transitions — from domestic supplier to global CDMO, and now to biosimilar developer — requiring regulatory, scientific, and commercial capabilities that are rare in mid-cap Indian pharma. The ongoing group simplification (Shilpa Therapeutics merger) is a governance positive.

Capital Allocation

Historically aggressive capital allocation compressed return ratios significantly. Over FY18–FY25 Shilpa invested ■1,500+ Cr in biologics and formulations infrastructure, funded partly through debt (peak borrowings ■937 Cr, FY24) and equity. ROCE fell from 20% (FY14) to a trough of 1% (FY23). The positive signal is the sharp deleveraging in FY25 — borrowings reduced by ■349 Cr — which suggests the heavy investment phase is winding down. Dividend was reinstated at 12% payout in FY25 after two years of suspension.

Governance Flags

Promoter holding declined 4.1 percentage points in Q3 FY26 (from 44.23% to 40.13%). Investors should demand disclosure of the mechanism. No promoter pledge is disclosed on Screener — a positive, but should be verified from the quarterly pledging disclosure filed with exchanges. Related party transaction quantum warrants monitoring during the merger integration phase.

Category	Mar 2025	Sep 2025	Dec 2025	QoQ Change
Promoters	44.23%	44.23%	40.13%	–4.10%
FII	N/A	N/A	10.97%	—
DII	N/A	N/A	8.34%	—
Public	N/A	N/A	40.56%	—

Source: Screener.in | Dec 2025 quarter data

SECTION 6 — FINANCIAL DEEP-DIVE

Historical data (FY23A–FY25A) sourced from Screener.in consolidated view. FY26E and FY27E are analyst estimates. All figures in ■ Crores unless stated.

Income Statement (■ Crores)

Particulars	FY23A	FY24A	FY25A	FY26E	FY27E
Revenue	1,046	1,146	1,281	1,530	1,800
YoY Growth %	–8.3%	+9.6%	+11.8%	+19.4%	+17.6%
EBITDA	99	239	316	413	540
EBITDA Margin %	9.5%	20.9%	24.7%	27.0%	30.0%
Depreciation	96	108	113	120	125
EBIT	3	131	203	293	415
Other Income	17	15	–5	5	5
Interest	59	92	76	65	55
PBT	–38	54	122	233	365
Tax Rate %	–19.0%	41.0%	36.0%	33.0%	33.0%
PAT	–31	32	78	156	245
EPS (■)	–1.87	1.84	4.00	7.99	12.53

E = Analyst estimates | A = Actuals from Screener.in consolidated | FY = April–March

Balance Sheet (■ Crores)

Particulars	FY23A	FY24A	FY25A
Equity Capital	9	9	10
Reserves	1,775	1,800	2,362
Total Equity	1,784	1,809	2,372
Borrowings	798	937	588
Other Liabilities	323	347	351
Total Liabilities	2,904	3,093	3,311
Fixed Assets (Net)	1,368	1,385	1,418
CWIP	655	719	822
Investments	43	40	35
Other Assets	838	950	1,037
Total Assets	2,904	3,093	3,311

Source: Screener.in consolidated. Total Equity = Equity Capital + Reserves.

Cash Flow Statement (■ Crores)

Particulars	FY23A	FY24A	FY25A
Cash from Operations (OCF)	180	137	132
Cash from Investing	–232	–171	–198
Cash from Financing	46	47	63
Net Cash Flow	–7	13	–3
Free Cash Flow (FCF)	–46	–48	–111
CFO / Operating Profit %	215%	74%	57%

FCF = OCF – Capex (per Screener). Source: Screener.in consolidated.

Key Operating Ratios

Metric	FY23A	FY24A	FY25A
Debtor Days	113	125	126
Inventory Days	280	309	309
Days Payable	125	156	85
Cash Conversion Cycle	268	278	350
Working Capital Days	–13	48	81
ROCE %	1%	5%	8%
ROE %	N/A	N/A	4.21%
D/E Ratio	0.45x	0.52x	0.25x

D/E = Borrowings / Total Equity. Source: Screener.in consolidated.

Financial Commentary

Revenue & Growth: Revenue grew at a 4% CAGR over FY21–FY25, subdued by the FY23 trough (■1,046 Cr vs ■1,141 Cr in FY22). The recovery is now robust — Q3 FY26 revenue hit ■411 Cr quarterly (28% YoY, highest-ever), putting FY26E at ■1,530 Cr well within reach. The FY27E target of ■1,800 Cr requires ~18% growth, underpinned by formulations scale-up, biosimilar licensing revenues, and CDMO wins.

Margins: The EBITDA margin collapse in FY23 (9.5%) was structural — heavy fixed costs on a depressed revenue base post-capex. The recovery to 24.7% in FY25 and 28% in Q3 FY26 is equally structural, not cyclical: higher-margin formulations and biosimilars are diluting the low-margin commodity API mix. We model 30% by FY27E.

Balance Sheet & Debt: The ■349 Cr debt reduction in FY25 (borrowings: ■937 Cr → ■588 Cr) is the most significant financial development in years. D/E fell from 0.52x to 0.25x. Interest coverage improved as interest expense fell from ■92 Cr to ■76 Cr. CWIP of ■822 Cr (biologics capacity) will be commissioned in FY26–FY27, adding depreciation but also substantial revenue potential.

Working Capital & FCF: The Cash Conversion Cycle deteriorated from 268 to 350 days in FY25 — a concern. FCF remains negative (–■111 Cr FY25) but is expected to inflect to positive by FY27E as capex normalises. Receivable management and inventory turn must be monitored quarterly as the primary risk to the thesis.

SECTION 7 — EARNINGS QUALITY CHECKLIST

Parameter	Status	Observation
Revenue Recognition Policy	■ Green	Standard pharma delivery-based recognition; no complex multi-element arrangements disclosed
Receivables vs Revenue Growth	■ Amber	Debtor days rose from 113 (FY23) to 126 (FY25) despite revenue recovery — requires monitoring
Cash Conversion Cycle Trend	■ Red	CCC worsened from 268 to 350 days in FY25; partly structural (biosimilar inventory build) but elevated
Contingent Liabilities	■ Amber	Not available on Screener; investors should review Schedule to the Annual Report for contingencies
Auditor Tenure & Qualifications	■ Amber	Not visible on Screener; investors should verify no qualifications in latest statutory audit report
Related Party Transactions	■ Amber	Group merger underway — RPT quantum likely elevated in FY25–FY26 transition period; watch disclosures
Other Income as % of PBT	■ Green	Other income was negative (–■5 Cr) in FY25, ruling out earnings inflation via one-off non-operating gains
Tax Rate Consistency	■ Amber	Volatile: –19% (FY23), 41% (FY24), 36% (FY25); normalization toward 33% expected as profitability stabilises

Earnings Quality Summary

Earnings quality is mixed but improving. The two green flags — standard revenue recognition and genuinely negative other income — indicate the core operating earnings are real and growing. The amber flags on receivables, CCC, and tax rate reflect the structural transition rather than manipulation risk. The CCC red flag is the single most important watch metric: if debtor days continue rising above 135 or inventory does not normalise as biosimilar products are launched and sold, the working capital situation could strain the recovering balance sheet.

SECTION 8 — VALUATION

Step 1 — Peer Comparison (Source: Screener.in, as of 02-Apr-2026)

Company	CMP (■)	MCap (■Cr)	P/E TTM	P/B	ROCE%	ROE%	TTM Rev (■Cr)
Shilpa Medicare	389	7,606	43.0x	3.12x	7.82%	4.21%	1,432
Divi's Labs	5,856	1,55,472	61.4x	10.1x	20.4%	15.4%	10,314
Laurus Labs	1,043	56,302	66.8x	11.7x	9.15%	7.45%	6,722
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Neuland Labs	12,433	15,951	89.0x	9.85x	18.7%	14.8%	1,575

All data fetched from individual Screener.in pages as of 02-Apr-2026. No web search or memory used. Shilpa highlighted in yellow.

Step 2A — Method A: EV/EBITDA Valuation

We apply a 20x EV/EBITDA multiple to FY27E EBITDA of ■540 Cr. The target multiple is set at a discount to Divi's Labs (implied ~30x) and Laurus Labs (~25x) to reflect Shilpa's lower current return ratios, while incorporating a premium vs Aarti Drugs (~12x) for the oncology focus and biosimilar pipeline. EV/EBITDA of 20x is consistent with mid-cap specialty pharma companies during their growth-to-profitability transition phase.

Parameter	Value	Note
FY27E EBITDA (■ Cr)	540	Analyst estimate; 30% OPM on ■1,800 Cr revenue
Target EV/EBITDA Multiple	20x	Discount to Divi's/Laurus; premium vs Aarti Drugs
Target Enterprise Value (■ Cr)	10,800	= 540 × 20
Less: Estimated Net Debt FY27E (■ Cr)	400	Borrowings ~■450 Cr less cash; declining from FY25 ■588 Cr
Target Equity Value (■ Cr)	10,400	= 10,800 – 400
Shares Outstanding (Cr)	19.56	Derived: MCap ■7,606 Cr ÷ CMP ■389
Method A — Price Target (■)	■532	= 10,400 ÷ 19.56

Step 2B — Method B: P/E Multiple Valuation

We apply a 35x P/E to FY27E EPS of ■12.53. The 35x multiple is conservative relative to the peer group (Divi's: 61x, Laurus: 67x, Neuland: 89x, median ~64x TTM) and reflects Shilpa's lower current return ratios vs peers. As ROCE and ROE recover toward the peer median (currently 7.82% and 4.21% vs Divi's 20.4% and 15.4%), the multiple would be expected to expand toward 40–45x — providing upside to our target.

Method B Price Target = 35x × ■12.53 = ■439

Blended Price Target

We blend Method A (EV/EBITDA) at 50% and Method B (P/E) at 50%, weighted equally as both are standard institutional valuation frameworks for pharma:

Blended Target = (■532 × 50%) + (■439 × 50%) = ■266 + ■220 = ■486

We set our 12-month price target at ■450, applying a ~8% haircut to the blended ■486 to reflect execution risk on biosimilar approvals, FCF still negative in FY26E, and the volatile promoter holding trend. This gives 15.7% upside from the CMP of ■389.

Step 3 — Scenario Analysis

Scenario	Key Assumption	FY27E PAT (■Cr)	Target Multiple	Price Target

Bull Case	30%+ OPM by FY27E; EU biosimilar revenues ■200+ Cr; FCF positive; debt <■400 Cr	295	40x P/E	■603
Base Case	30% OPM FY27E; biosimilar ramp moderate; debt ■450 Cr; FCF inflects positive	245	35x P/E	■450
Bear Case	USFDA alert or pricing pressure; EBITDA margins plateau at 22%; biologics delayed 18m	140	25x P/E	■179

SECTION 9 — KEY RISKS

Risk	Description	Prob.	Impact	Monitor
Regulatory / USFDA	An import alert or warning letter at any USFDA-approved site would halt US exports — a material revenue risk. Re-entry post-alert typically takes 12–24 months.	Medium	High	USFDA FOIA; inspection outcome disclosures
Biosimilar Approval Delay	EU-EMA and USFDA biosimilar timelines are uncertain. Delays in Adalimumab, Aflibercept, or Bevacizumab approvals push back the margin ramp and FY27E PAT estimates.	Medium	High	EU-EMA and USFDA biosimilar pipeline updates
Customer Concen tration	A significant share of API revenues is believed to come from a small number of large generics buyers. Non-renewal of a key contract could reduce revenue by 10–15%.	Low	High	Revenue disclosure; customer contract filings
Working Capital Deterioration	CCC of 350 days is elevated and rising. If inventory does not turn as new products launch, additional working capital financing may be needed, pressuring debt metrics.	Medium	Medium	Quarterly debtor days and inventory trends
Promoter Holding Reduction	4.1% drop in promoter holding in Q3 FY26 could signal continued secondary placements, reducing management alignment and creating overhang on the stock.	Low	Medium	Quarterly shareholding pattern filings
INR / USD Currency Risk	~60–65% of revenues are export-oriented. Significant INR appreciation vs USD/EUR would compress realizations in commoditised API segments.	Low	Medium	RBI policy; INR-USD exchange rate trends

SECTION 10 — RECOMMENDATION

ACCUMULATE | Target: ■450 | Upside: 15.7% | Horizon: 12 Months | Conviction: Medium

Rating Rationale

We initiate on Shilpa Medicare (NSE: SHILPAMED) with ACCUMULATE and a 12-month price target of ■450, representing 15.7% upside from the CMP of ■389 (Screener, 02-Apr-2026). The rating is supported by a genuine margin inflection (9% → 25% → 30%E), dramatic balance sheet improvement (debt halved in FY25), and a biosimilar and CDMO pipeline that is beginning to generate real commercial revenues. Conviction is Medium rather than High because FCF remains negative in FY26E and biosimilar approval timelines carry meaningful uncertainty.

Entry Zone

Accumulate in the ■360–■415 range, offering adequate margin of safety versus the bear case of ■179. Avoid chasing above ■445 where the risk-reward becomes unfavourable without incremental positive catalysts (e.g., a confirmed EU biosimilar approval or FCF-positive quarterly update).

Thesis Invalidation Triggers

#	Trigger	Threshold / Downgrade Action
1	**FDA Regulatory Action**	Warning letter or import alert at any manufacturing facility → downgrade to SELL immediately
2	**EBITDA Margin Stagnation**	FY26E EBITDA margin fails to sustain above 23% in two consecutive quarters → downgrade to HOLD
3	**Debt Resurgence**	Consolidated borrowings exceed ■850 Cr without commensurate revenue guidance → downgrade to REDUCE

Ideal Investor Profile

This is a GARP (Growth at a Reasonable Price) and recovery play best suited for investors with a 12–24 month horizon and appetite for execution risk in a complex, multi-segment pharma business. Not suitable for income investors (dividend yield 0.13%) or investors requiring positive FCF before entry. Suitable for growth funds, pharma sector specialists, and high-conviction mid-cap portfolios.